approach. The assignment principle teaches us that one tool of policy should be devoted to one objective. We should not bring poverty into the picture when discussing (say) water.

Example 15: Workfare programmes

In the late 1980s, there were good experiences in Maharashtra with employment guarantee schemes. [1] The key insight of a successful workfare programme is that the only people who will show up, to earn Rs 100/day by doing manual labour, are those who are facing extreme economic stress. It was felt that the mainstream labour market would not be distorted when the state paid out a below-market wage in a workfare programme.

Policy thinkers were attracted by three key features of workfare programmes. They are *self-targeting*: Only the poorest would utilize them. They are *self-adjusting*: When there are remunerative activities, e.g., associated with an agricultural cycle, there would be an automatic reduction in workfare. Finally, they are *self-liquidating*: Once incomes in a certain region go up, through economic growth, nobody would want to do manual labour at Rs 100/day. Over the years, these programmes would tend to fade away on their own.

These assumptions hinged on the idea that the wage in a workfare programme is lower than the wage seen in the labour market. In practice, the way the National Rural Employment Guarantee Scheme (NREGS) was implemented in India, the wage paid was higher than that seen in the labour market. There has been great economic growth in India after NREGS was born, but there has been no decline in the number of persons participating in NREGS. As a consequence, many of the beneficial features of NREGS, originally envisaged, were not obtained.

This gap, between workfare programmes in theory versus NREGS in practice, is a reminder of how the best-thought-out redistributive programmes often go wrong. Successful redistribution makes great demands upon the capabilities of the policy process.